

Independent euro weakness is the dominant story in FX markets as investors adjust positions for French fiscal risk. With the ECB tightening cycle far more vulnerable to repricing than the Fed's, EUR/USD looks set to remain under pressure. Elsewhere, Brazilian asset markets are expected to rally today after Sunday's election results

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↑ USD: Dollar holds gains

DXY dollar index is pushing smartly to new highs of the year. It is being propelled by the sell-off in the euro, which represents 58% of the DXY basket. 102.85 would seem to be the next upside target here.

Friday's [softish September jobs data](#) failed to materially dent prospects for the dollar. Instead, it seems the market is pretty comfortable pricing in unchanged Fed policy at the late October meeting and then a hike at the December meeting. In terms of how

this week will play out for short-dated US rates, the focus will probably be on today's ISM services data and then the release of the FOMC minutes on Wednesday evening. Both look positive for the dollar, with the latter providing some colour on why so many Fed members were forecasting a second Fed hike this year in their Dot Plot submissions.

Core support for the dollar should continue to come from the fact that expectations for the monetary policy tightening cycle remain far more resilient for the Fed than for overseas central banks – especially the ECB. Since late September, 30bp has been removed from the ECB's expected tightening cycle compared to just 13bp for

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something my colleague Francesco Pesole [warned about last Thursday](#). We stick with our [1.1100/1120 EUR/USD target](#) for the time being, with the risk of an extension to the 1.10 area.

The eurozone data calendar is pretty light this week, but focus today will be on ECB comments emerging from a monetary policy conference in Frankfurt. The ECB has a difficult job in terms of talking tough to keep a [lid on inflation](#), while at the same time being expected to step in at some point should the French debt sell-off get out of hand.

In terms of the bigger picture for EUR/USD, the cyclical story looks negative for the coming months. The only surprise positive we can see would be the US mid-term election results prompting some kind of policy response from the White House, which would unnerve a buy-side which is now overweight in dollars.

Chris Turner

➔ CEE: Inflation tests central banks stance

Regional inflation data will take centre stage this week. Turkey's September release is due today; we expect monthly inflation to edge up from 1.8% to 2.0%, while annual inflation falls to 30.0%.

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Despite significant volatility in the rates space last week, regional FX remained relatively stable. Nevertheless, our bearish bias proved justified, and the global narrative has seen little change over the past week. EUR/USD continues to seek new lows, and energy prices remain uncomfortably high. At the same time, despite the collapse in EUR rates, we did not see significant widening of rate differentials.

As we noted on Friday, we favour the Czech koruna within the region; it hit new lows last week, but higher inflation this week should trigger a more hawkish stance from the CNB and shift market pricing. Moreover, the koruna is less tied to the global narrative and should outperform its CEE peers. Conversely, the National Bank of Poland and NBH remain relatively dovish in the global inflationary context, leaving their currencies exposed.

Frantisek Taborsky

📈 **BRL: Surprisingly strong performance for Bolsonaro**

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however, the stronger dollar environment and surging US Treasury yields are creating a more difficult external environment for emerging market currencies than earlier this year.

USD/BRL could open near 5.10, but a move back to the lows of the year at 4.90 looks too aggressive right now. But expect the real to continue outperforming the steep forward curve.

Chris Turner



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Oil prices are under pressure amid plans for additional coordinated releases from strategic reserves. Middle distillate cracks have also weakened as the releases are set to include diesel



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the move was relatively short-lived. The market continues to settle above this key level as it digests a number of diverging developments. On the bearish side, oil flows through the Strait of Hormuz appear to be trending higher. G7 nations have agreed to release 100m barrels of oil, including diesel, while oil flows along Saudi's East-West pipeline continue to recover. On the bullish side, there's still little sign of an end to tensions. We have seen an increase in attacks on commercial vessels in the Persian Gulf recently.

On Friday, the G7 agreed to release 100m barrels of oil from reserves, which will be coordinated by the IEA. It will include diesel,

which will be front-loaded. These releases will begin immediately for a period of 4 months, while a substantial diesel release will occur over the first 20 days. This action reflects the growing tightness in the diesel market as we move closer towards the Northern Hemisphere winter and the threat of a US diesel export ban. The G7 move has President Trump ruling out the possibility of an export ban.

The release of diesel supplies, together with a reduced risk of a US diesel export bans, has weighed on middle distillate crack spreads. The ICE gasoil crack narrowed from around \$85/bbl in the middle of last week to about \$70/bbl currently. This is helpful in the short

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204,302 lots, which is the smallest position held since early August. Signs of increased oil flows from the Persian Gulf would likely leave speculators reluctant to carry too much risk at the moment.

Unsurprisingly, OPEC+ over the weekend left production levels unchanged for November. Throughout the US-Iran conflict, the group announced cumulative supply increases of 1.65m b/d. However, these were largely paper increases, as ongoing supply disruptions prevented a corresponding rise in actual production. These supply increases will become a reality once we get to the other side of the disruptions in the Strait of Hormuz.

[SPR](#)[Speculators](#)[OSP](#)[Middle distillates](#)[Geopolitics](#)[Gasoil](#)[Diesel](#)

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In the wake of dovish-leaning comments from the Fed leadership and softer-than-anticipated inflation, today's weaker-than-predicted jobs figures have further diminished the chances of an October interest rate hike. December remains the most likely date for the next move. We continue to believe market pricing for additional action is too aggressive

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29,000

Number of jobs added in
September

Lower than expected

**September jobs report was weaker on all
three key metrics**

The US September jobs report is softer than expected on all three key metrics. 1) non-farm payrolls rose +29k versus the +90k consensus with 60k of downward revisions, 2) the unemployment rate ticks up to 4.2% from 4.1%, driven by a partial recovery in the participation rate (people returning to the workforce) and 3) and wage growth of 3% year-on-year versus 3.1%, suggesting that there is no inflation threat emanating from the jobs market.

It chimes with the latest comments from Federal Reserve big hitters John Williams (NY Fed president) and Philip Jefferson (Vice Chair), suggesting they may need more time/no urgency to hike rates. As such, the Fed leadership is clearly leaning in the direction of an

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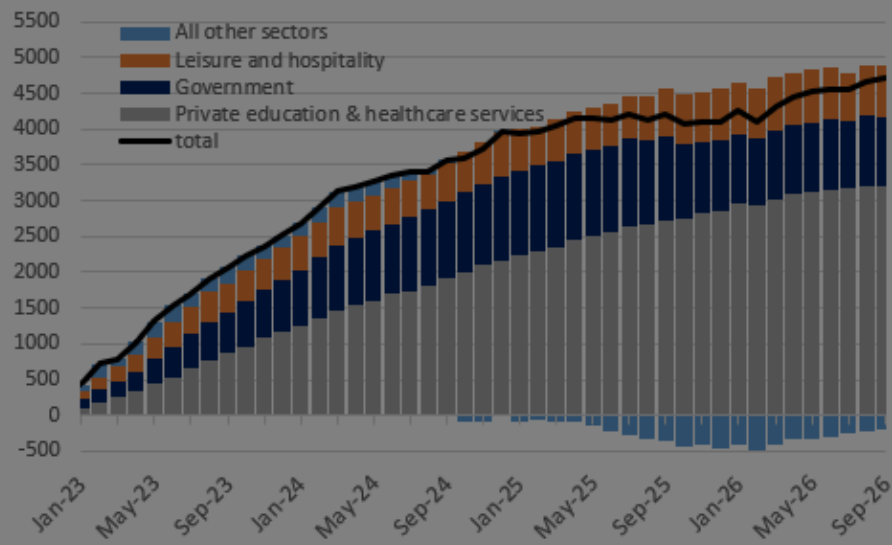
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**Cumulative employment change since
December 2022 (000s)**



Source: Macrobond, ING

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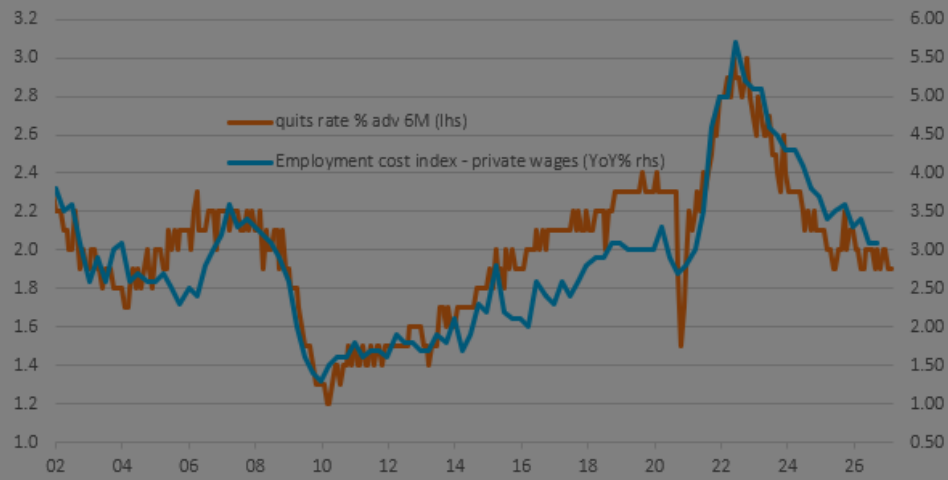
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jobs market and reinforces our view that the market pricing of 3–4 Fed rate hikes looks too aggressive.

Low quits rate points to ongoing wage weakness



Source: Macrobond, ING

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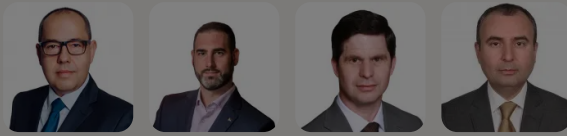
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Poland is expected to leave rates unchanged next week, while Hungary, the Czech Republic and Turkey release September inflation data alongside key activity figures



Adam Antoniak, Peter Virovacz, David Havrlant and Muhammet M

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Unchanged

We expect the National Bank of Poland (NBP) to leave interest rates unchanged on Wednesday 7 October, with the reference rate remaining at 3.75%. On the one hand, headline CPI rose to 4.0%YoY in September, moving well above the central bank's 2.5% target (+/- 1 percentage point). On the other hand, inflation is solely being driven by an external energy shock, with no clear signs of broader inflationary pressures or second-round effects. Core inflation likely declined last month, while fuel and household energy prices account for around 2.5 percentage points of annual inflation.

This means policymakers still have some time before taking any policy action. We believe the debate on monetary tightening may begin in November, when the NBP publishes its new staff macroeconomic projections. We continue to expect rates to remain unchanged for the rest of this year, although we see scope for 50bp of rate hikes in early 2027.

Hungary: Higher fuel prices set to push inflation up

We expect the favourable underlying budget performance to continue in Monday's data release. Following an August deficit

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inflation forecast for Hungary in September. we are anticipating a significant increase in headline inflation, with fuel prices accounting for around 75% of the acceleration. The other major impact is the recent weakening of the HUF, which is accelerating price changes in imported food, durables, and FX-sensitive services. Other than that, we still don't expect to see major second-round effects in the data. If our nowcast is close to the actual outcome, we will need to revise the full-year 2026 inflation forecast upwards from 1.7% to 1.8-1.9%.

Czech Republic: Inflation set to jump on higher energy prices

Tuesday 6 October brings the flash estimate of September CPI. Annual headline inflation likely surged in September, with energy prices being the main driver of the increase. That said, we expect a punchy price increase in fuels, but also monthly price gains in regulated prices and foodstuffs. Czech industry entered solid ground this year, and real industrial output growth likely maintained a solid pace in August. Decent export performance is set to have contributed to a less pronounced trade deficit in the same month. Households still benefited from robust nominal wage

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Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
Monday 5 October				
Russia	0700	Sep S&P Global Services PMI	-	51.3
Hungary	1000	Sep Budget Balance (monthly, HUF bn)	179	-2311
Turkey	0800	Sep CPI (MoM%/YoY%)	2/30	1.8/31.5
Tuesday 6 October				
Czech Rep	0800	Sep CPI Prelim (MoM%/YoY%)	0.0/2.5	0.3/1.9
Hungary	0730	Aug Industrial Output (MoM%/YoY%)	-3.0/3.7	1.7/4.7
	0730	Aug Retail Sales (YoY%)	4.2	4.9
Wednesday 7 October				
Poland	1400	Rate Decision	3.75	3.75
Czech Rep	0800	Aug Industrial Output (MoM%/YoY%, WDSA)	0.3/3.3	-1.1/2.5
	0800	Aug Trade Balance (CZK bn)	-4.4	-8.5
Hungary	0730	Sep Core CPI (YoY%)	2.1	2
	0730	Sep CPI (MoM%/YoY%)	0.6/2.0	0.2/1.3
Thursday 8 October				
Turkey	1230	Gross FX Reserves (USD bn)	60.9	62.8
Czech Rep	0800	Aug Retail Sales (MoM%/YoY%, SA)	0.6/4.8	0.6/4.9
	0900	Sep Unemployment Rate	5.1	5.0
Romania	1400	Rate Decision	6.50	6.50
Serbia	1100	Rate Decision	5.75	5.75
Friday 9 October				
Turkey	0800	Aug Industrial Output (MoM%/YoY%)	-/-	-1/-0.3
Russia	1700	Sep CPI (MoM%/YoY%)	0.3/6.3	-0.1/6.3

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Markets reached a point of inflection yesterday, where the sell-off in French debt broke the narrative of ever-higher short-term market interest rates. This questions whether central banks are about to extend into policy error territory with tightening cycles. If that is the case, the ECB has less cause to tighten than the Fed, and EUR/USD can stay offered

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⬆️ USD: Pricing of Fed cycle looks stickier than most

A big day in FX markets yesterday saw the sell-off in French government debt dominate global markets. And it was the first time since late August that short-dated US interest rates had a sizeable fall. Here investors have started to reassess whether central banks – more so the European Central Bank than the Federal

Reserve – need to deliver another 75bp of tightening to subdue inflation. We discuss the ECB and the euro below.

Perhaps adding to the correction lower in US rates were comments from Fed Vice Chair Philip Jefferson echoing remarks from John Williams earlier in the week that the Fed should not rush into back-to-back rate hikes. Pricing for a Fed hike in October has now dropped to just 28% from 70% a week ago, and it looks like the market is going to settle into the view that the next hike comes in December.

Feeding into the Fed story will be today's release of the September

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EUR/USD decisively broke to new lows for the year yesterday as the sell-off in French debt finally came home to roost. Little prospect of [fiscal consolidation anytime soon](#) leaves French debt vulnerable over the coming months, and yesterday dramatically questioned whether the ECB could push ahead with another 75bp of tightening during a very difficult time for European government bond markets. In particular, the central bank must be worried about the contagion of the French sell-off into the likes of Italy and even Spain. Investors assume that any ECB fix to the bond market sell-off either involves much less or no tightening of policy (euro bearish) or, in extremis,

the use of the Transmission Protection Instrument to buy bonds (very euro bearish).

My colleague, Francesco Pesole, wrote a [nice article](#) on how the market could easily add another 2% in risk premium to the euro if this bond market sell-off extends. And after the break of technical support yesterday, near-term EUR/USD looks biased to 1.1100/1120, if not closer to 1.10. We would expect upside corrections to be relatively shallow now.

The French debt sell-off, the rise in volatility and, most importantly, the softening of interest rates all conspired to send the Swiss franc a

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Romania is already rated at the lowest investment-grade level with a negative outlook. A downgrade, particularly a loss of investment-grade status, would likely trigger renewed pressure on Romanian assets and a sharper reaction in both FX and bonds than seen this week. Romanian yields remain low relative to CEE peers, leaving expensive bonds vulnerable to such a shock, in our view. Meanwhile, the central bank appears increasingly willing to allow greater EUR/RON flexibility, adding further upside risk to the pair.

Elsewhere in the region, the calendar is quiet today, with attention focused on US payrolls. However, yesterday's massive repricing in

front-end core rates should have repercussions in the region, and we are likely to see a rally in CEE rates as well. The drop in EUR rates should imply a widening of spreads and provide some support for FX. Given that the global environment remains risk-averse and EUR/USD is eyeing new lows, we prefer low-beta currencies, specifically, the Czech koruna.

EUR/CZK remains driven primarily by the interest rate differential, whereas the forint and zloty are more sensitive to outright energy prices and market sentiment. Consequently, EUR/CZK could dip back below 24.400 today, and we expect the Czech National Bank to adopt a more hawkish stance looking ahead. We therefore

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Looking ahead, portfolio inflows should remain supportive.

Kazakhstan continues to offer an attractive real rate of around 7%, while positive rating momentum, improving market infrastructure and growing market liquidity underpin foreign investor interest. However, after appreciating roughly 12% against the USD since the outbreak of the US-Iran conflict, the tenge is now trading near levels rarely sustained before 2022 and, according to our models, is approaching fair value.

At the same time, the growing backlog of state FX sales may offer support in case of deterioration in the market mood. Since June,

NFRK FX sales have effectively been capped at around \$200m per month, well below estimated fiscal financing needs of \$500-600m per month, as the authorities sought to avoid excessive FX supply on the domestic market. As a result, a sizeable FX sales backlog is accumulating. We estimate the deferred sales requirement at around \$1.0-1.5bn, reflecting fiscal spending obligations that will ultimately need to be financed.

Overall, we see the balance of risks as supportive for KZT stability. While further appreciation may prove difficult from current levels, the combination of still-favourable capital inflows and potential state FX sales should help keep the currency broadly resilient. The

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The higher rates environment is testing risk sentiment as fiscal concerns move to the forefront. Debt dynamics are no longer deemed only a French problem; other European countries are coming into focus. The ECB could soften its tone given tightening financial conditions, but eurozone CPI and US jobs data are unlikely to give central banks much room

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Sentiment turning sour on European debt problems

European bond markets are showing the first signs of broader contagion after the French budget presentation. We had speculated it could provide temporary relief, as it marked an effort toward consolidation, but looking further ahead, spreads were more likely to test around 150bp. Relief was even more short-lived than we thought, and a renewed widening has taken the 10y OAT/Bund spread to almost 140bp already.

More worryingly, spreads of other highly indebted countries – foremost Italy and Greece – have widened even more than French spreads, with an almost 15bp widening over German Bunds in the 10y and even more pronounced widening at the short end. This broader risk-off and flight to safety and liquidity has accelerated the Bund outperformance versus swaps, in the end showing that Bunds have not lost their safe-haven status as some had feared, given the muted reaction to geopolitical turmoil over the past month.

The broader risk-off is also helping to curb the aggressive European Central Bank rate hike discount. Market expectations have eased

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payrolls figures. The consensus sees eurozone core inflation rising from 2.4% to 2.5%, which can still be considered benign given elevated energy prices. The expectation for non-farm payrolls is a decline from a high 162k in August to a more moderate 85k for September. Such a number would point to a still resilient jobs market.

Rates Daily

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The Reserve Bank of India is widely expected to deliver a 25bp rate hike. Markets will also be watching inflation data from the Philippines, household spending and external-sector figures from Japan, and inflation and trade releases from Taiwan



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[RBA stays focused on inflation, signals more tightening if needed](#)

[China's State Council suggests more policy support ahead](#)

[Xi-Trump summit: Pandas and positive vibes but limited progress](#)

India: RBI expected to hike rate by 25bp

The Reserve Bank of India is likely to begin its tightening cycle on Wednesday with a 25bp hike in its policy rate to 5.5%, after holding rates steady since December. Rising oil and a sharp pickup in food

prices are expected to push CPI inflation back above the RBI's target range in the fourth quarter. While the inflation shock is largely supply-driven, we expect the RBI to raise rates to prevent inflation expectations from de-anchoring. Markets will be focused on the RBI's guidance on the extent and duration of the tightening cycle.

Philippines: Inflation to rise on food and fuel pressures

Fuel and El Niño-related food price pressures are likely to push Philippine inflation higher to 6.8% year-on-year in September, from 6.1% in August. Domestic fuel prices rose by more than 15% during

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Taiwan: Export growth to remain strong

Taiwan releases September inflation and trade data. Market consensus expects headline CPI inflation to accelerate to 2.4% YoY, from 2.04% in August. Export growth is forecast to strengthen to 47.3% YoY, from 41.0%, supported by continued demand for semiconductors and other electronic products. Imports are seen remaining broadly stable at 44.0% YoY, compared with 44.3% previously. The trade surplus is forecast to narrow to \$19.2bn, from \$22.3bn in August.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	
Monday 5 October				
Japan	0830 Sep	Services PMI Final	-	51,6
	1300 Sep	Consumer Confidence	CF:35,2	35,5
Australia	0600 Sep	S&P Global Composite PMI Final	-	50,8
	0600 Sep	S&P Global Services PMI Final	-	51,4
Singapore	1300 Aug	Retail Sales (MoM%/YoY%)	-/-	0,9/1,5
Taiwan	1620 Sep	FX Reserves (USD bn)	-	601,9
Thailand	1200 Sep	CPI (YoY%)	-	2,5
	1200 Sep	CPI Core Inflation (YoY%)	-	1,4
Tuesday 6 October				
Australia	0730 Oct	Westpac Consumer Confidence (MoM%)	-	-5,2
India	1300 Sep	HSBC Composite PMI Final	-	56,5
	1300 Sep	HSBC Services PMI Final	-	55,8
Hong Kong	0830 Sep	IHS S&P Global PMI	-	49,5
Philippines	0900 Sep	CPI (MoM%/YoY%)	0,6/6,8	0,6/6,1
Thailand	1100 Sep	Consumer Confidence	-	53,2
South Korea	0500 Sep	FX Reserves (USD bn)	-	442,3
Wednesday 7 October				

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Probably 20% of the total influence. And of that, 70% reflects productivity and 25% is AI issuance. It's a view based absolutely on what the numbers say, but in the end it's a judgement call (as objective as doable, overlaid with a large dollop of subjectivity)



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The spending piece has a small, but not an inconsequential impact

There are three basic AI components to account for, namely:

1. The spending piece,
2. The capital markets piece, and
3. The productivity piece.

The spending piece is relatively straightforward, as it's a straight accounting in GDP. My colleague James Knightley has dealt with

this in detail [here](#). Basically, AI accounts for a third of current economic growth. The link here with rates is the tendency for higher growth to be loosely associated with higher rates. However, given that the economy outside of AI is less dynamic, the AI piece is more of a filler than anything else.

The capital markets issuance piece has a more persuasive impact

The capital markets piece is more complex. ING's Jan Frederik Slijkerman did a deep dive into this space recently; it's [here](#). For 2026, he identifies TMT as a meaningful driver of additional

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to-date issuance in maturities of 17 years and longer totals US\$235bn, making it the largest maturity bucket, ahead of 9–12 year tenors (US\$219bn).

Equivalent issuance along the 10yr to 30yr part of the US Treasury curve sums to US\$340bn. That's unchanged versus the previous year. If we factor in buybacks, they are running at some US\$20bn above last year. So the swing factor from a US Treasuries perspective is an effective reduction in net issuance of the aforementioned US\$20bn. Contrast that with long-dated

investment-grade corporate issuance, which is running up US\$55bn compared with last year.

Adding the two together, we have an overall 'delta' of some US\$75bn (calculated as a US\$55bn increase in corporate long-dated issuance versus a US\$20bn increase in long-end Treasury buybacks for 2026). In other words, long-dated issuance pressure has been skewed towards corporates and away from US Treasuries. We'd not consider this in any way destabilising. But it's absolutely a factor to take into account.

Long-dated corporate supply surges led by

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It's always difficult to put a basis point implication of this on long dates, but it's tough to argue that this is not a contributing factor. Even with less corporate issuance outside the AI space for 2026, aggregate corporate issuance is still well up, and with a longer duration tilt to boot. These AI-spend players have also chosen to issue bonds in place of bank borrowing in order to get the required size and duration. The bank avenue would have meant banks' funding is much shorter (traditional bank duration mismatch). Bank lending is up, but nowhere near the same scale of the increase in

bond issuance. So, either way, back ends are feeling more pressure than they would for long-dated funding.

That all being said, the market has remained quite receptive to AI and wider corporate issuance. New issue premiums have tended to be higher for longer duration / AI-related issuance, but in the 10bp area they are far from tipping the long end over the edge.

The productivity piece pushes in the same direction, but more mythical in nature

The productivity revolution that AI promises should enhance the productive capacities of both capital and labor. It's actually difficult

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yield is 2.9%. And the 10yr nominal yield is at 5.2%. So we're still at least 100bp below the levels we saw back in 2000. Whether we like it or not, rises in real yields for productivity reasons should be construed as higher yields for 'positive' reasons.

A suggested breakout of influences from AI

Here's a suggested breakdown of the pure AI impact.

1. About 5% from the spending piece
2. About 25% from the issuance piece

3. About 70% from the productivity piece

But we can't leave it here, as AI is not the only influencer for long-dated rates. In fact, we'd argue that two other drivers – inflation and fiscal deficits – have been more impactful.

It's far from all about the AI impact, as holistically we have inflation and fiscal deficit factors too

It's tough to paint a picture of long rates without

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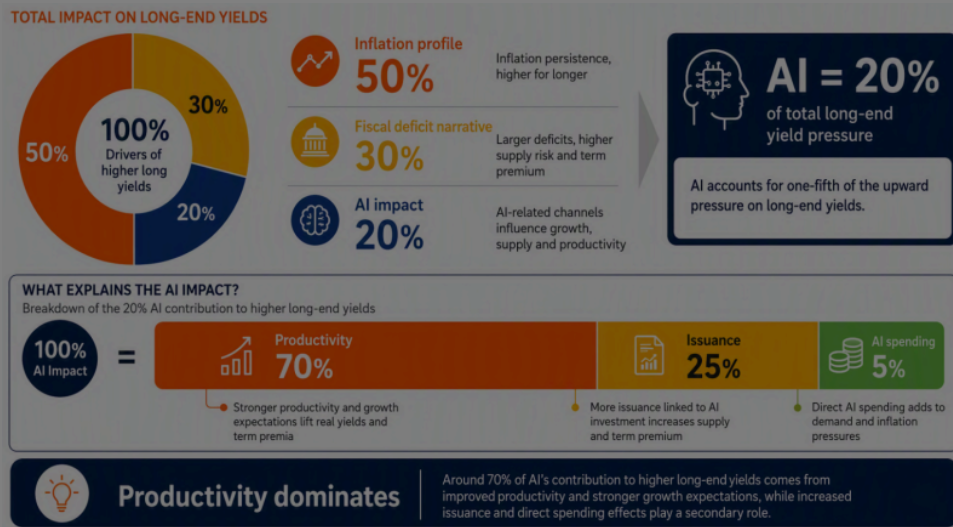
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developed markets back into inflation generation capability, and the Iran war and energy price spikes have juiced things up again. At the same time, where we are now for the US long yields is no more than a return to slightly above normal, by about 50bp in the 10yr. See more [here](#) on what that is all about. Ahead, we have inflation remaining sticky to the upside for 2026, before easing lower for 2027.

What's driving higher long-end yields?



Source: ING Research

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inflation) was 4.4%, and nominal GDP rose by 6.6%. The current 10yr yield at 5.2% is not out of kilter with that. For more on the prognosis ahead, see [here](#) and [here](#).

Supply

Interest rates

AI

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France's fiscal package would prevent the deficit from reaching 6.5% of GDP next year, but it would not stabilise public debt. With a difficult political process ahead, French bonds are likely to remain under pressure, while the threshold for ECB intervention remains high



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What is in the new budget?

France's minority government today presented its plans for the state budget (PLF), and a separate bill covering the financing of the social security system (PLFSS). The government aims to bring the public deficit back to 5% of GDP in 2027, after an expected increase from 5.1% in 2025 to 5.4% in 2026. Without corrective measures, the deficit would instead reach around 6.5% next year, as interest payments, pensions and other expenditure continue to rise.

The budget contains €43bn of measures compared with this no-policy-change scenario. Together with the growing impact of previous decisions, the total effort affecting the 2027 accounts would reach €54bn.

Much of the adjustment would come from higher revenues. The tax burden would rise from 43.9% to 44.2% of GDP through targeted measures affecting households and companies. These include a lower tax allowance for pensioners, changes to the taxation of sick leave and termination payments, fewer tax exemptions and stronger action against fraud. The surcharge on large companies would remain in place, while employers' social security reductions

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European criteria limiting the growth of so-called 'controllable' expenditure (at +0.7 per cent, the lowest rate of growth since 2017).

Even if fully implemented, the budget would only slow the deterioration. Public debt, already at 119% of GDP in mid-2026, is projected to reach 121.7% in 2027. A deficit of 5% would still be far too high to stabilise it.

A modified budget is the most likely outcome

The two bills must be formally filed at the National Assembly by 6 October, with the plenary debate scheduled to begin on 13 October. From the filing date, parliament has 70 days to complete the procedure for the state budget and 50 days for the social security budget. The main deadlines will therefore fall between late November and mid-December.

A straightforward parliamentary agreement appears unlikely given the absence of a stable majority. The more plausible route is that several weeks of negotiations produce a modified budget, but not enough support for a formal vote. The government could then use Article 49.3 of the constitution, which allows it to pass the bill

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The key question therefore is whether the opposition can assemble an absolute majority for censure. Both the Socialist Party and the Rassemblement National face a difficult choice. Bringing down the government would underline their opposition, but could prolong the uncertainty and leave the winner of the 2027 presidential election facing an even more urgent fiscal problem.

The RN currently appears inclined to avoid censure. According to *Le Monde*, it would prefer to enter 2027 with an imperfect budget that could later be amended rather than inherit no full budget and have to prepare an emergency one after the election. Crucially, the RN

and the Socialists do not need to support the budget. For them, it might look more comfortable to blame the current government for the austerity policies in the run-up to the presidential elections. Unless they unite behind the same no-confidence motion, the motion is unlikely to secure the required majority.

A modified budget is therefore likely to be adopted eventually, probably through Article 49.3 rather than a parliamentary vote. But before that, the coming weeks are likely to bring lengthy negotiations, amendments and shifting political positions.

Buying time, not solving the problem

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Charlotte de Montpellier

Bond spreads face further widening pressure as positive catalysts remain elusive

The budget plan marks a substantial effort towards fiscal consolidation. It may offer some temporary relief for spreads. But this is the government trying to convey the urgency of the situation – and bond markets will watch whether parliament takes notice or remains preoccupied with pre-election positioning.

Even taking into account some potential relief now, looking ahead we see spreads remaining in a range well above the 100bp level – more likely testing levels towards 150bp.

At the time of writing, the widely watched 10y OAT/bund spread has already topped 130bp. That is a 46bp widening since the start of September when the spread stood at 86bp. Picking out next target levels appears arbitrary at this point, as there are few anchors to hold on to. The next local highs were at 145bp, last seen during the sovereign debt crisis. The combination of increased volatility and a prolonged timeline of uncertainty is likely to keep the spread under widening pressure as it curbs investor appetite for

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the credit default swaps market. French 5y CDS spreads have widened by 36bp to 72bp since the start of September. In terms of dynamics, it slightly surpassed the pandemic impact, and we are now on par with levels last seen when Le Pen ran on a 'Frexit' platform in the 2017 elections.

It is important to add some perspective: the levels are only slightly above a range where Italy was traded from 2024 to early 2025 – and Italy's spread had spiked to above 250bp when the pandemic hit. But before markets can return to assessing France's pricing

relative to underlying fundamentals, we will likely need to see political stability first. A path that Italy has also shown.

Benjamin Schröder

Will the ECB step in?

The widening French spread raises the question of whether the ECB could intervene through its Transmission Protection Instrument (TPI). TPI allows the ECB to purchase securities issued by member states whose financing conditions have deteriorated for reasons not justified by country-specific fundamentals. However, before activating it, the Governing Council considers a cumulative set of

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in a difficult position. Intervening too quickly in support of France may be viewed unfavourably by other member states and interpreted as monetary financing of the debt of a country unwilling to follow the rules. That argues strongly against early intervention. Also, don't forget that the leadership changes at the ECB over the next months (Schnabel, Lane, Lagarde) could also affect how the ECB views TPI.

However, in any case, if turmoil in the French bond market spreads and drives up yields in other highly indebted member states, pressure on the ECB to act would increase. That action would not necessarily have to come through the TPI immediately. The ECB

could instead pause quantitative tightening temporarily and reinvest maturing bonds in its portfolio “flexibly”, sending a positive signal to bond markets. This had already happened during the Covid period. Still, the more contagion in eurozone bond markets, the higher the risk that markets will eventually force the ECB to start TPI.

Broader market stress would also affect the ECB’s interest rate policy. In a speech to the European Parliament’s Committee on Economic and Monetary Affairs this week, Christine Lagarde noted that “while growth has been resilient, since our last meeting long-term interest rates have risen notably, which will slow growth and

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History suggests that the euro's correlation with eurozone spread widening can pick up rapidly. Today's budget announcement in France leaves OATs at risk of further underperformance, and a so far resilient EUR/USD may be looking at material downside risks if things don't improve. EUR/CHF is facing similar depreciation potential

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FX spillover from France is starting

This morning's market chatter is increasingly focused on widening eurozone spreads finally spilling over into the euro, with the French-German 10-year spread reaching 130bp.

Both EUR/USD and EUR/CHF have moved lower today. The latter is providing the clearest signal that bond market stress is feeding into FX. The dollar continues to benefit from broad-based support, driven by tighter global financial conditions, elevated energy prices

and a hawkish Fed. Instead, the Swiss franc's momentum was bearish until this morning, with a dovish surprise last week by the Swiss National Bank weighing on the currency.

Our colleagues analyse today's budget announcement in France [in this note](#). ING's view is that this budget buys some time but fails to solve structural deficit issues. Markets still have little incentive to price fiscal premia out of OATs, and with no party having presented a sufficiently detailed spending cut plan, the upcoming elections are adding to the uncertainty. Our rates team believes 150bp may be the next step for the 10yr OAT-Bund spread.

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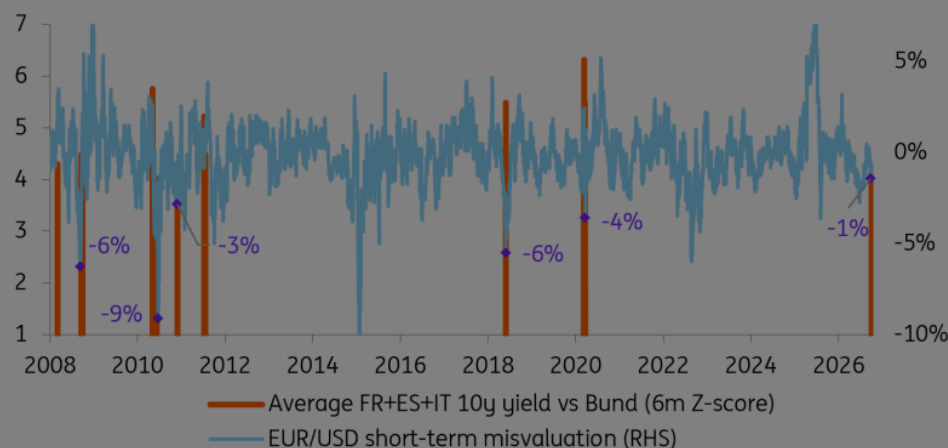
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The euro's reaction has been contained compared to past episodes



Source: ING, Refinitiv

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fiscal risk, and we could see further downside there too. Still, the franc's idiosyncratic fragilities may get in the way, meaning we don't expect CHF to outperform USD materially purely on the back of the French story. A drop to 1.110 in EUR/USD could equal a move to roughly 0.920-0.925 in EUR/CHF.

FX

Euro

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The quick answer: it is about future-proofing businesses. As extreme weather and AI reshape the future of sustainability, resilience is becoming a business advantage. And resilience and decarbonisation go hand in hand



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Rethinking business sustainability

This year's New York Climate Week marked a clear shift from five years ago. The focus has moved beyond emissions targets, Scope 3 accounting, and climate disclosure. While changes in the US policy landscape have played a role, two broader trends are now reshaping the sustainability agenda. Both were evident throughout this year's event.

First, climate risk got more attention. And for good reason.

Wildfires, hurricanes, and flooding are becoming harder to ignore and could cost the US [over \\$1tr](#) from 2026-2030.

Second, AI dominated the conversation. As electricity demand surges, clean energy technologies such as solar, nuclear, and geothermal are being called upon to expand supply, creating new growth opportunities.

We expect these two forces to shape the future of sustainability in the US. For corporates, the implication is clear: **sustainability is increasingly about future-proofing the business.**

What does that mean? It starts with managing climate **risks**. Corporates need to secure access to the energy and resources needed to operate and grow. They must also ensure their assets

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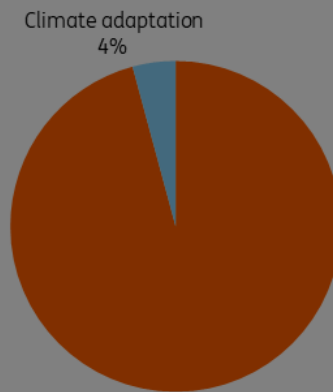
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is a gap between acknowledgement and identifying them as financially material, and another gap between the latter and making immediate investment decisions.

The result is that climate finance is skewed heavily toward reducing emissions (mitigation), while climate risk management (adaptation) receives far less. Annual global investment in mitigation has reached [\\$1.3tr-\\$1.8tr](#) annually in recent years, whereas adaptation investment stands only at [\\$68bn](#) per year.

Estimated breakdown of annual global climate-related investment



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Sectors such as **industrials**, **materials**, **IT**, and **real estate** are also vulnerable, although the risks they face are less difficult to contain or transfer. Significant losses can therefore still occur if climate risks are not properly addressed.

To be fair, there are valid reasons behind the underinvestment in climate risk. The “returns” from climate adaptation are still consistently viewed as “loss avoided” rather than “revenues generated.” By contrast, mitigation technologies such as solar panels can produce tangible cash flows and therefore attract capital more easily.

But that assumption needs to be challenged. Research from various insurers, rating agencies, banks, and government institutions suggests that climate adaptation investments can generate positive returns.

For example, flood defences can reduce asset vulnerability, cooling systems can improve operational reliability, and supplier diversification can increase supply chain resilience. They can make businesses more durable and better positioned for growth.

The rise in demand for climate adaptation can also create new business opportunities. Products such as climate-resilient

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The need to invest more in climate resilience does not diminish the importance of decarbonisation. Without it, climate risks would only become harder and more costly to manage.

Accelerating the deployment of clean technologies remains central to decarbonisation. Beyond reducing emissions, clean energy helps expand power supply. As US electricity demand rises with growing AI data centres and manufacturing, technologies such as solar can be deployed relatively quickly to meet demand. Over time, emerging technologies like geothermal and longer-term solutions such as nuclear could play a much larger role in the energy mix.

This is a clear example of how sustainability can support economic growth. Corporates developing and supplying clean power are well positioned to expand, while data centres and technology firms are expected to remain major buyers of clean electricity and important drivers of new capacity.

But other power-intensive industries may face increasing competition from data centres for electricity, including clean power. Aluminium is one example. Emirates Global Aluminium and Century Aluminium are planning the first new US aluminium smelter in nearly 50 years, but securing sufficient electricity may become more challenging as data centre demand continues to

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One promising solution is greater flexibility in electricity demand. Companies that can adjust when and how they use power can help free up grid capacity and, under many regulatory reforms, improve their ability to connect to the system more quickly.

Encouragingly, more companies are exploring these approaches, although efforts remain fragmented. Even so, we may be approaching a turning point where today's best practices become tomorrow's industry standard, and today's reforms help shape the power system of the future.

In this environment, engagement matters. Companies that work closely with utilities, grid operators, regulators, and local communities will be better positioned to navigate constraints and secure the power they need.

Risks and opportunities are not isolated

As policy priorities, technologies, and climate risks evolve, so too has the meaning of sustainability in the US. Increasingly, it is about future-proofing businesses by managing material risks and capturing emerging opportunities.

These objectives are not competing priorities. By strengthening

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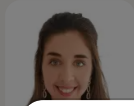
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After years of declining building permits, the first half of 2026 brought a welcome improvement, with permit activity returning to growth. Despite this rebound, permit volumes remain historically low, and renewed geopolitical tensions in the Middle East add new headwinds for the construction sector



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Recovery in building permits continues in first half of 2026

The first half of 2026 brought a welcome improvement in building activity, with the number of building permits rising by 8% compared with the same period a year earlier. The recovery was mainly driven by new construction permits, which increased by 12% year-on-year, while renovation permits also posted a more modest gain of 5%. However, the picture is mixed across market segments. In the renovation market, growth was confined to residential projects, where permits increased by 6% compared to

the previous year. Non-residential renovation activity, by comparison, resumed its downward trend since April and is currently 2% lower than a year ago. In the new construction segment, both residential and non-residential permits recorded growth, although the strongest momentum came from the residential market, where permits increased by 14% year-on-year.

Focusing on the residential market, housing permits rose significantly during the summer. In July, the number of housing permits jumped by 51% compared with the previous month, lifting annual growth to 11%. Both apartments and houses contributed to this increase, with permits rising by 61% and 40% month-on-

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instance, rose by as much as 36%.

Rising material costs risk pushing up the price of new homes at a time when demand remains the main constraint reported by construction firms. Higher construction costs add to worsening financing conditions. Since the escalation of the conflict in the Middle East, both long-term interest rates and mortgage rates have increased significantly, reducing housing affordability. This is already becoming visible in the mortgage market. In the first eight months of 2026, the number of new mortgages fell by around 10% compared with the same period a year earlier. While construction

firms reported an improvement in order books between March and June, this trend has reversed since July. Firms are once again reporting weakening order books, highlighting the fragile nature of the recovery in residential construction.

Lower energy prices may provide some relief for interest rates, but a return to the ultra-low-rate environment of the past is unlikely. With financing costs expected to remain structurally higher, housing demand is unlikely to receive a strong boost anytime soon. In addition, the Flemish government is planning to raise registration duties on the sole family home from 2% to 3%, reversing a reduction introduced less than two years ago. Beyond its direct

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Article | 24 September 2026

UNITED STATES

US manufacturing revival gathers pace despite tariff and energy headwinds

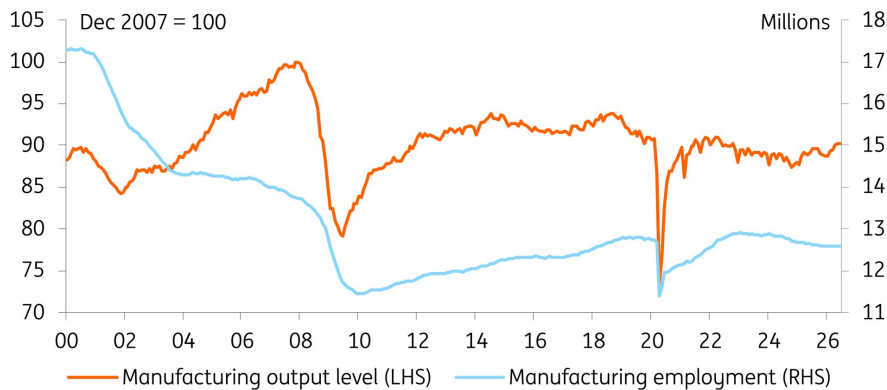
After three years of stagnation, US manufacturing appears to be on an upswing as production and order books gain momentum. Tariffs and energy costs pose challenges, but trends in reshoring, AI/robotic technologies and rising defence spending provide reasons for longer-term optimism



The revival in US manufacturing is being led by the tech sector, including Google data centres (pictured above)

The US manufacturing sector has experienced a torrid couple of decades. Output volumes remain 10% below the peak level hit just before the Global Financial Crisis in December 2007. The sector employs a million fewer workers than it did 20 years ago. Reasons for this poor performance include consumer demand preferences shifting ever further toward services over physical goods, underinvestment in advanced production facilities relative to international competitors, high US labour costs and the removal of trade barriers allowing foreign manufacturers to gain market share.

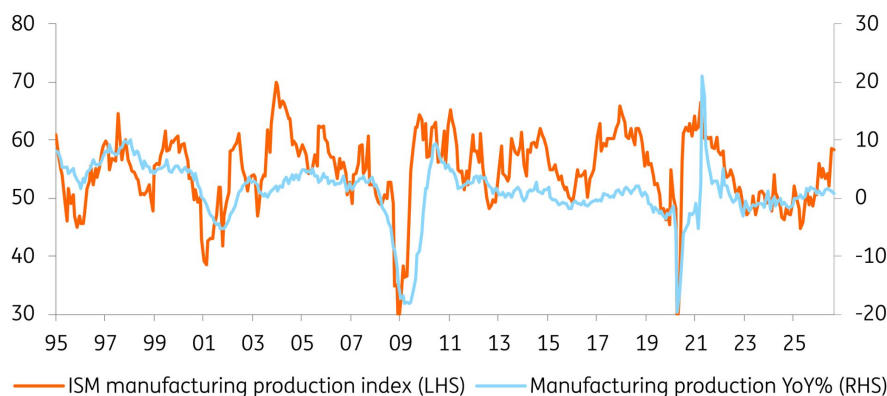
Manufacturing output levels and manufacturing employment



Source: Macrobond, ING

Nonetheless, the sector has shown genuine signs of a revival over the past year. The ISM production index has moved from sub-50 contraction territory to signalling robust growth ahead. Below, we look at what is driving this turnaround and how it could evolve.

ISM production index points to an ongoing manufacturing output upturn



Source: Macrobond, ING

Tariffs remain President Trump's primary tool

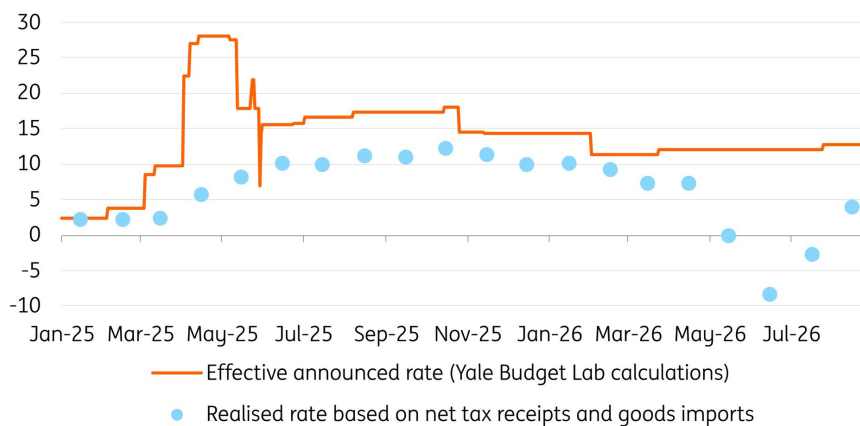
Reviving manufacturing has been top of mind for all recent presidents. In his first term, President Trump's solution was to impose tariffs on Chinese-made imports along with sector-specific levies. The rationale being that this would boost the price competitiveness of US manufacturers in key sectors. Yet it failed to generate the desired turnaround. Initiatives from President Biden similarly yielded little benefit.

In his second term, President Trump doubled down, initially announcing 25% tariffs on steel and aluminium, and then a 25% tariff on auto parts before launching into his 'Liberation Day' tariffs in April 2025 that dramatically expanded coverage.

Invoked under the International Emergency Economic Powers Act (IEEPA), individual tariff rates changed based on a trading partner's willingness to open markets to US manufacturers and guarantee investment within the US. The chart below shows that the realised tariff rate undershot the calculated implied average tariff rate based on the full-year 2024 import mix.

Reasons for this include import substitution via switching to lower-tariffed foreign suppliers, a surge in tariff-exempt high-tech imports, and better USMCA compliance. This means a greater proportion of Canadian and Mexican trade qualified for tariff exemptions, and some modest evidence of switching towards US-made products.

Effective announced tariff rates versus realised tariff rates (%)



Source: Yale budget Lab, Macrobond, ING

The Supreme Court ruled against those tariffs in late February. In response, Trump swiftly invoked Section 122 of the 1974 Trade Act. It allows tariffs of up to 15% for as long as 150 days before the US Trade Representative launches Section 301 investigations. The end result is 10% tariffs on 14 countries, including the EU, Mexico, Canada and the UK, with 46 other countries, including imports from China, Japan and India facing a 12.5% tariff. This, in itself, is a lower tariff regime under the IEEPA system.

Given several important tech and medical categories are exempted, we expect the realised tariff rate to come close to 7%. This is a less onerous environment than 12 months ago. Moreover, importing companies' cash flows are being boosted by the Supreme Court's decision to insist that the \$166bn of IEEPA tariffs be fully refunded. That means the realised tariff rate temporarily fell into negative territory in July, as IEEPA refunds more than offset all other tariff charges.

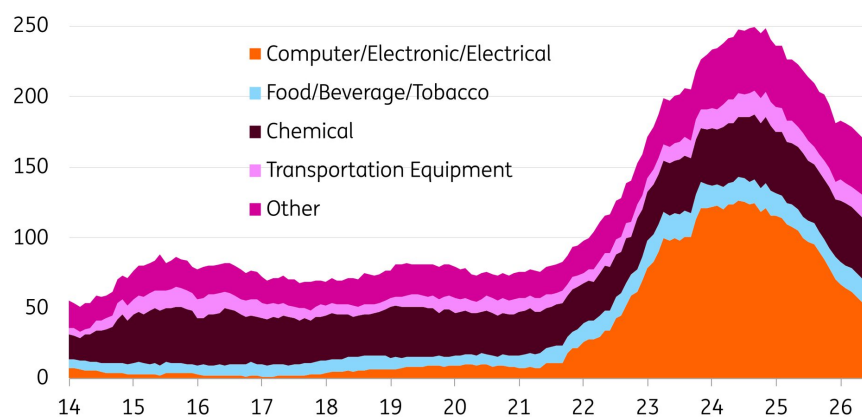
Reshoring yet to show up in construction activity

Citing the effectiveness of tariffs, the Administration has touted the "[largest reshoring wave in American history](#)". It points to a four-year high for the ISM manufacturing index while

employment in the manufacturing sector rose 58,000 in the first eight months of this year. Amid pledges from corporate America to invest more in the US, the National Association of Manufacturers reported that foreign direct investment in US manufacturing reached a new record level in [2025 of \\$2.5tr](#).

Yet manufacturing-related construction activity does not reflect this positive narrative. Manufacturing construction spending peaked in September 2024 at an annualised \$249bn and currently stands at \$170bn. We've seen a sharp slowdown in construction activity in the computer, electronics and electrical sector from \$126bn to \$57bn over that same period. That follows the conclusion of the CHIPS and Science Act from the previous Biden Administration, which provided nearly \$53bn to boost the domestic semiconductor industry. Strip out this sector and construction activity tied to the rest of manufacturing has changed little over the past two years. So, despite commitments from business leaders, little evidence suggests that a reshoring boom is underway just yet.

Manufacturing sector construction spending (\$bn)



Source: Macrobond, ING

While tariffs may improve the relative cost comparison versus foreign products, the National Association of Manufacturers states that in 2024, manufacturing employees earned an average of \$106,691, including pay and benefits. That is substantially higher than the average cost of employing someone in China, South Korea and even Germany. This suggests that for manufacturing reshoring to make sense, it would be tied to companies that are highly automated with high value-added production. Alternatively, there could be an appetite to reshore where consumers are willing to pay the premium for a 'Made in America' label or where security of supply chains is an imperative.

Sectors most likely to receive a boost include technology, transport and aerospace, electric vehicles, clean energy and pharmaceuticals. The latter is where we have seen the largest announcements, with Johnson & Johnson's \$55bn investment spending plan over the next four years and Eli Lilly announcing a \$27bn investment in its US manufacturing operations.

And in solar manufacturing, tariffs, price floors, and China-focussed trade restrictions are supporting the expansion of US manufacturing across the value chain.

While the construction numbers aren't showing any uplift yet, it takes significant time to get planning in place. Advanced manufacturing plants also take a long time to construct. Intel, for example, suggests it takes three to five years with 6,000 construction workers at a cost of \$10bn to build a new factory. An aluminium smelter takes two to three years for construction, in addition to the time needed to design and secure planning approval. Significant infrastructure is also typically required for all new manufacturing sites, including power, road, rail and water, adding to the cost of reshoring.

The Middle East conflict and energy prices

Restrictions on shipping through the Strait of Hormuz have raised concerns about energy shortages, higher prices and potential production disruption for manufacturers globally. However, the US is better positioned to manage those challenges than European and Asian competitors. The US produces more energy than it consumes. Oil prices are set in global markets and push up the cost of gasoline and diesel, with freight costs consequently increasing in the US and elsewhere. However, the US is in a better position relative to foreign competitors in terms of natural gas. Abundant domestic production is keeping prices well below long-run averages.

This has a knock-on effect: lower electricity prices vis-à-vis other countries, which should give US manufacturers a cost advantage over foreign peers. US-based companies involved with steel, metal and glass production – heavy industries that require high-temperature processes – and agriculture and fertiliser production, which use natural gas to convert into nitrogen fertilisers, should be relative winners on the global stage. Similarly, the availability of natural gas, used as a feedstock to create products such as plastics, should give a competitive boost for US manufacturers.

Nevertheless, electricity-intensive manufacturers could come under pressure as AI-driven data centre growth drives up power demand. For example, Emirates Global Aluminium and Century Aluminium are planning a 750,000-ton aluminium smelter in Oklahoma, the first new US smelter in almost 50 years. The facility would double current US aluminium output, but may face challenges competing with data centres for power.

Financial conditions are a headwind

Borrowing costs have risen in response to elevated energy prices and a belief that the Federal Reserve is set to tighten policy and keep interest rates higher for longer. In an environment of substantial government fiscal deficits and anxiety about debt sustainability, US longer-dated Treasury yields have pushed above 5%. Corporate bond spreads have tightened, but not by enough to prevent an overall rise in borrowing costs. Moody's 10Y Aaa corporate debt

benchmark index is pointing to a 56bp increase in borrowing costs since the start of the year.

Mortgage rates, auto loans and credit card borrowing costs all increased for similar reasons. This will act as a brake on economic activity over time. Auto loan and credit card delinquencies are already on par with the rates recorded in the aftermath of the Global Financial Crisis, and the household saving ratio is around 3pp below its long-run average of 6%. As such, this tightening of financial conditions, amplified by the recent strengthening of the US dollar, is a headwind for the sector.

Sector performance diverges markedly

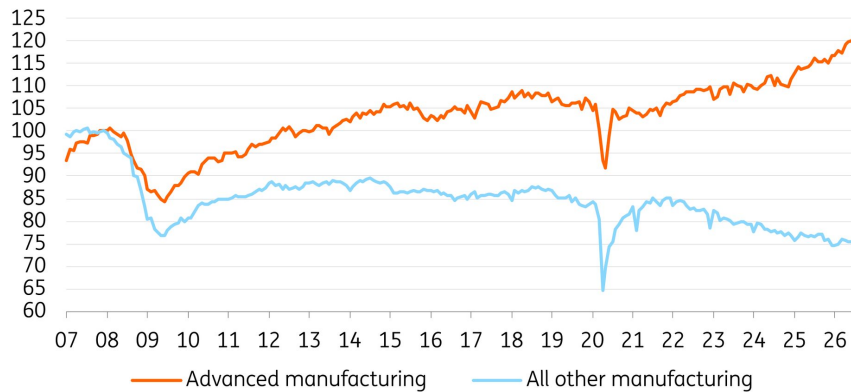
Tariffs and energy security do boost the attractiveness of manufacturing in the US. But so does US economic growth continuing to outperform other key markets. Between 2023 and 2026, the US economy has grown an average of 2.5% year-on-year in volume terms versus 0.9% in Europe.

At the same time, the US Administration believes maintaining the lead in the AI/technology frontier is imperative for both economic and national security, given competition from China. Rapid AI adoption is leading to robust construction of data centres, boosting electricity demand and spurring investment across the power supply chain, from generation and transmission to electrical equipment. In response, gas turbine manufacturers such as GE Vernova and Caterpillar are planning major capacity expansions in the US. ABB has also announced a \$110m investment to expand production of switchgear and other electrical components in Virginia, Puerto Rico, and North Carolina. The Trump administration's focus on expanding US energy dominance and industrial competitiveness is increasing the appeal of manufacturing these in the US.

As we can see in the chart below, high value-added or advanced manufacturing, within which we group tech, electronics, transport and power-related sectors, has significantly outperformed other sectors. We expect this story to continue. We also see defence as a sector that should continue to post strong growth. As more countries increase military spending, US companies may benefit from strengthening order books.

Traditional, labour-intensive, commoditised manufacturing sectors continue to shrink under pressure from foreign competitors. Here, tariffs are not enough to provide the competitiveness boost needed to offset the high cost of producing in the US. These US producers are also often detrimentally impacted in foreign markets by retaliatory tariffs.

Advanced manufacturing versus traditional output (Dec 2007 = 100)



Source: Macrobond, ING

Modest growth disguises growing bifurcation

Business surveys point to strong order books, and we see this supporting manufacturing's ongoing revival. Our volume growth forecast for US manufacturing of 1.5-2% per year over the next three years may not seem like much, but it should be seen in the context of the sluggish activity experienced over the past 20 years. This headline forecast also masks increased bifurcation, with advanced manufacturing growing rapidly while more traditional sectors look set to retrench further.

Highly automated, high-value-added sectors at the forefront of the AI/technology revolution are seen as national champions by the government and are able to absorb the relatively high wages on offer in the US. The desire to incorporate AI advances should, in theory, drive advances in productivity-enhancing initiatives that further support innovation. As such, pharma, tech, transport & aerospace, electrical and power-related sectors should continue to grow robustly.

Lower value-added production, where labour costs make up a greater share of the overall cost base of production, will continue to struggle unless it can garner a 'made in America' premium. Heavy industry, such as steel, is likely to be somewhere in the middle. While costs have risen, they have risen more elsewhere. And the perception of the US as a source of reliable energy, backed by strong political support in a higher-tariff environment, also presents opportunities for growth.

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